

**SUBSTITUTE FOR
SENATE BILL NO. 1013**

A bill to amend 1956 PA 218, entitled
"The insurance code of 1956,"
(MCL 500.100 to 500.8302) by adding section 2027a.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 2027a. (1) It is an unfair method of competition and an**
2 **unfair or deceptive act or practice in the business of insurance**
3 **for an insurer to use price optimization in any way in ratemaking.**

4 **(2) As used in this section:**

5 **(a) "Engage in activities that result in insurance policy**
6 **turnover" includes, but is not limited to, any of the following:**

7 **(i) Shopping with other insurers for a lower premium.**

8 **(ii) Canceling a policy before the expiration of the policy**
9 **term.**



1 (iii) Failing to renew a policy at the renewal of the policy
2 term.

3 (iv) Complaining to the insurer or the insurer's agent or
4 representative.

5 (b) "Price optimization" means establishing rates or varying
6 premiums at any time based on factors that are unrelated to risk of
7 loss or expense, including, but not limited to, any of the
8 following:

9 (i) Charging based on the insured's price tolerance.

10 (ii) Considering the likelihood that the insured will engage in
11 activities that result in insurance policy turnover.

12 (iii) Estimating the willingness of the insured to pay a higher
13 premium compared to other insureds.

14 (iv) Using any measure of a consumer's or group of consumers'
15 price elasticity of demand.